

The Economic Costs of Parliamentary Populism

Evidence from European Regions

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Outline

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Research Question

Do populist parties need to *govern* to erode economic performance or do the costs of populism arise already at the *ballot box*?

Introduction and Motivation

Populism Is the Norm, Not the Exception I

Figure: Populist vote share, 1995

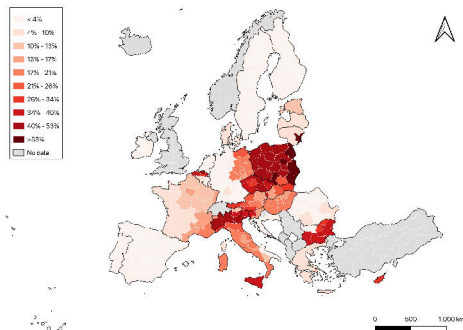
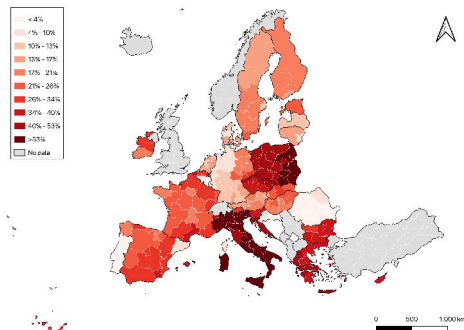


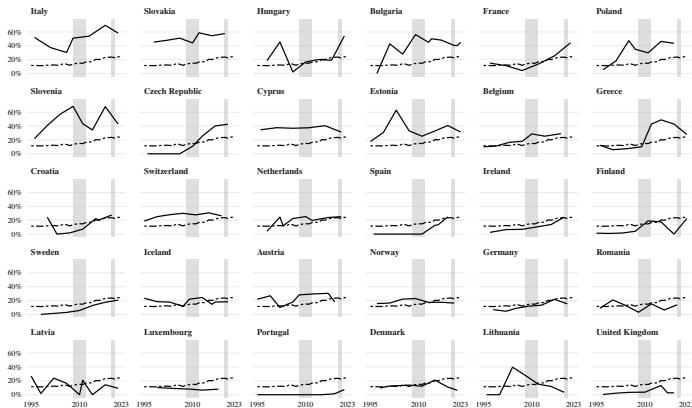
Figure: Populist vote share, 2022



- In 2022, populist parties held parliamentary representation in **26 out of 27** EU member states.
- An estimated **2.5 billion people** live in countries led by at least somewhat populist leaders.
- Support is **territorially uneven**: exposure to populist politics varies widely *within* countries.

Populism Is the Norm, Not the Exception II

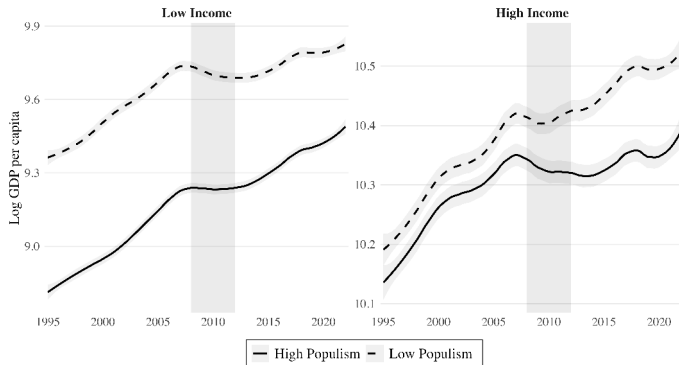
Figure: Trends in populist vote share across European countries, 1995 – 2023



- Only **6 of 30** countries recorded a drop in the populist vote since 1995 — and even there, populist parties kept continuous parliamentary representation.

GDP Trajectories by Populist Support and Income Level

Figure: Average regional GDP per capita trajectories, 1995–2022



Countries are classified into quintiles of average GDP per capita (1995–2022); Low-Income = Q1+Q2, High-Income = Q4+Q5. Within each group, regions are High or Low Populism if their mean vote share exceeds the *within-group median*.

Declining regions may *generate* populist support $\Rightarrow$ **reverse causality** must be addressed.

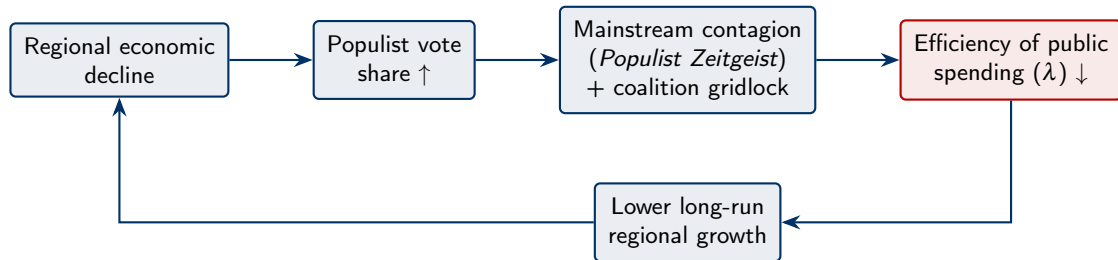
The literature measures the cost of populists *in power*:

- **Funke et al. (2023)**: 51 populist leaders, 60 countries, 1900–2020. GDP per capita **~10% lower** after 15 years vs. non-populist counterfactual.
- **Absher et al. (2020)**: durable left-populist regimes in Latin America reduced real per capita income by over **20%**.
- Focus is **exclusively on the executive branch** and on national aggregates.
- We estimate whether, and to what extent, the parliamentary presence of populist parties affects **long-run regional economic performance in Europe**.

Why Regions?

- Populist support is rooted in **unequal regional trajectories** (Rodríguez-Pose, 2018; Dijkstra et al., 2020).
- National aggregates mask the **place effect** in voting (Gutiérrez-Posada et al., 2021).
- NUTS 2 is the scale at which **electoral competition, party organization and voter mobilization** operate.
- The regional panel provides the **variance and sample size** needed to estimate dynamic growth models while controlling for time-invariant heterogeneity.

The Mechanism: A Populist Trap



- Growth model with productive public goods: institutional efficiency λ governs the **return** to public spending.
- Parliamentary populism erodes λ through **policy uncertainty and legislative gridlock**.

► Model

Populism may not reduce the *volume* of public spending, it reduces its *return*.

Data

Data: Sample, Variables & Sources

Sample: 227 NUTS 2 regions, 27 European countries, 1995–2022 (5,997 obs., unbalanced panel).

- **Outcome:** In real GDP per capita, constant 2015 euros (ARDECO).
- **Treatment:** regional **populist vote share** in national elections — The PopuList 3.0 (ideational classification of parties; Rooduijn et al.) $\times$ EU-NED (regionalized electoral results; Schraff et al., 2023).
- **Economic controls:** employment/population, investment/capital, population growth, public deficit, income tax rate (ARDECO; Eurostat).
- **Political controls:** number of elections, cabinet turnover, coalition status, caretaker government, populist seat share, populist cabinet share, populist prime minister (ParlGov $\times$ PopuList).
- **Institutional quality (IQ):** first principal component of the six World Bank Worldwide Governance Indicators, normalized to $[0, 1]$.

► Construction

Estimation Strategy

Identification: Which Way Does Causality Run?

Dynamic panel specification

$$\ln y_{it} = u_i + \gamma_t + \chi \text{pop}_{it} + \sum_{s=1}^3 \tilde{\beta}_s \ln y_{it-s} + \boldsymbol{\rho}' \mathbf{x}_{it} + \varepsilon_{it}$$

Problem

Reverse causality: declining regions vote populist (Rodríguez-Pose, 2018). In addition, the Within FE estimator is biased in dynamic panels (**Nickell bias**).

Solution:

- **Difference GMM** (Arellano–Bond, 1991): first-differencing removes fixed heterogeneity; lagged levels serve as *internal instruments* — no external instrument needed.
- GDP and populist vote share treated as sequentially exogenous; collapsed instrument set (Roodman, 2009).
- All standard diagnostics satisfied.

► Diagnostics

Results

Parliamentary Populism and Regional GDP per Capita I

Dep. Variable: $\ln y_{it}$	Within FE			Difference GMM		
	(1)	(2)	(3)	(4)	(5)	(6)
Share of populist vote	-0.010** (0.004)	-0.012*** (0.004)	-0.021*** (0.005)	-0.013*** (0.005)	-0.004 (0.005)	-0.016*** (0.006)
Share of populist cabinet	—	—	-0.006** (0.003)	—	—	-0.008** (0.003)
Institutional quality (IQ)	—	—	0.082*** (0.013)	—	—	0.081*** (0.017)
GDP persistence	0.948***	0.932***	0.916***	0.953***	0.937***	0.916***
Long-run effect of populism	-0.203*** (0.074)	-0.181*** (0.062)	-0.254*** (0.067)	-0.267*** (0.092)	-0.065 (0.081)	-0.187** (0.080)
Economic controls	No	Yes	Yes	No	Yes	Yes
Political controls & IQ	No	No	Yes	No	No	Yes
Observations	5,457	5,457	5,457	5,230	5,230	5,230
AR(2) p -value	—	—	—	0.565	0.338	0.236

All specifications use three GDP lags and 227 regions. Long-run effects: $\hat{\beta}/(1-\hat{\rho})$, delta-method SE. Robust SE in parentheses. * $p < .10$, ** $p < .05$, *** $p < .01$.

- A permanent **+1pp** in the populist vote share reduces regional GDP per capita by **0.187%** in the long run.
- **The bulk of the cost is embedded in the electoral outcome:** conditional on the vote, cabinet entry adds a further, smaller penalty.
- **Higher Institutional quality** raises the return to public spending.
- A cumulative, persistent erosion — smaller than the executive-populism estimates, but operating **before** populists ever take office.

Heterogeneity

Is this just a **weak-institutions phenomenon** of post-2004 accession countries?

	Within FE (1)	Difference GMM (2)
Share of populist vote	−0.020** (0.009)	−0.023*** (0.009)
Share of populist vote × EU15	−0.003 (0.011)	0.013 (0.013)
Long-run effect (non-EU15)	−0.232*	−0.291**
Long-run effect (EU15)	−0.263***	−0.128

- Homogeneous effects across old and new member states **cannot be rejected**.
- The growth penalty of parliamentary populism is a **general European feature**, not an Eastern-enlargement artifact.

Long-run effect of. . .	Within FE	Difference GMM
Far-left populism	−0.479*** (0.121)	−0.340** (0.136)
Far-right populism	−0.090 (0.084)	−0.146* (0.087)
Non-Eurosceptic populism	−0.472*** (0.117)	−0.495*** (0.144)
Eurosceptic populism	−0.184*** (0.065)	−0.103 (0.075)

- The aggregate penalty **concentrates in the far-left and non-Eurosceptic factions** once endogeneity is addressed.
- Eurosceptic populists may be **contained by supranational regulation**, while pro-EU or EU-neutral populists face fewer constraints on translating their agenda into legislative disruption.

Robustness

Is the effect driven by a few structurally distinct, high-populism regions (Lega in the North, M5S in the South)? We reweigh the vote share by the **Political Nationalization Score** (Jones & Mainwaring, 2003; Bochsler, 2010):

$$PNS10_{jt} = 1 - \left(\frac{\sum_{ij}^{N_j} \sum_{-ij}^{N_j} w_{ij} |pop_{ijt} - pop_{-ijt}|}{2N_j \sum_{ij}^{N_j} pop_{ijt}} \right)^{1/\ln E_j}$$

= 1 under perfectly uniform support; declines with territorial concentration. w_{ij} : regional vote weights; E_j : effective number of electoral units. Imposing $w_{ij} = 1$, $\ln E_j = 1$ yields the baseline PNS; $\ln E_j = 1$ alone yields PNS_w .

Difference GMM	PNS	PNS_w	PNS_{10}
Adjusted populist vote share	-0.015**	-0.025***	-0.039***
Long-run effect	-0.180**	-0.298***	-0.474***

- The effect **survives and strengthens monotonically** as the adjustment becomes more demanding, the baseline is not an artifact of territorial concentration.

Conclusions

Populists do not need to govern to lower economic growth

- ① **The economic costs of populism begin before populists take office:** a permanent +1pp in populist vote share reduces regional GDP per capita by **0.187%** in the long run.
 - ② **The cost is embedded in the vote itself:** cabinet positions add little additional damage.
 - ③ The effect is **homogeneous across EU15 and new member states**, and concentrates in the **far-left and non-Eurosceptic** factions.
- **A populist trap:** decline in left-behind regions fuels populist support, which erodes the efficiency of policymaking, further weakening growth (Rodríguez-Pose, 2018).
 - **Implication for Cohesion Policy:** breaking the cycle requires *institutional quality*, not only transfers (Rodríguez-Pose, 2013).

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Theoretical Framework

Growth model with productive public goods subject to congestion (Barro & Sala-i-Martin, 2004; Acemoglu, 2009): institutional efficiency λ converts public spending into productive capital. First-order Taylor approximation around the steady state:

$$\ln y_{it} - \ln y_{it-1} \approx g_{Ai} - \beta (\ln y_{it-1} - \ln y_{it}^*)$$

which rearranges into the estimable two-way fixed effects dynamic regression:

$$\ln y_{it} = u_i + \gamma_t + \chi \lambda_{it} + \sum_{s=1}^{S \leq T} \tilde{\beta}_s \ln y_{it-s} + \sum_m^M \rho_m x_{mit} + \varepsilon_{it}$$

- χ : the parameter of interest, identified through populist vote share as the empirical counterpart of the erosion of λ .
- $0 < \beta < 1$ guarantees stationarity around the steady-state growth path.

Difference GMM: Specification and Diagnostics

- **Estimator:** Arellano–Bond (1991) Difference GMM; first-differencing eliminates unobserved regional heterogeneity; lagged levels of the endogenous regressors serve as GMM-style instruments (Holtz-Eakin et al., 1988).
- **Treatment of variables:** $\ln y_{it}$ and populist vote share treated as *sequentially exogenous*; all controls as strictly exogenous.
- **Instrument proliferation:** instrument set *collapsed* following Roodman (2009) to avoid overfitting the endogenous variables and implausibly perfect Hansen statistics.
- **Lag selection:** three GDP lags, chosen so that the **AR(2) test** shows no second-order serial correlation in the differenced residuals.

	Baseline	+Economic	+All controls
AR(2) p -value	0.565	0.338	0.236

EU15 Heterogeneity: Full Estimates

Dep. Variable: $\ln y_{it}$	Within FE (1)	Difference GMM (2)
Share of populist vote	-0.020** (0.009)	-0.023*** (0.009)
Share of populist vote $\times$ EU15	-0.003 (0.011)	0.013 (0.013)
GDP persistence	0.915*** (0.010)	0.923*** (0.008)
Long-run effect (non-EU15)	-0.232* (0.119)	-0.291** (0.126)
Long-run effect (EU15)	-0.263*** (0.074)	-0.128 (0.087)
Economic & political controls	Yes	Yes
Observations	5,457	5,230
Regions	227	227
AR(2) p -value	—	0.259

Three GDP lags. Long-run effects: $\hat{\beta}/(1-\hat{\rho})$, delta-method SE. Robust SE in parentheses. * $p < .10$, ** $p < .05$, *** $p < .01$.

Ideological and Eurosceptic Decomposition: Full Estimates

Dep. Variable: $\ln y_{it}$	Within FE		Difference GMM	
	Left-Right	Eurosceptic	Left-Right	Eurosceptic
Share of populist vote	-0.026*** (0.007)	-0.039*** (0.008)	-0.022*** (0.008)	-0.037*** (0.009)
× Far left	-0.015* (0.009)	—	-0.006 (0.009)	—
× Far right	0.018 (0.010)	—	0.010 (0.010)	—
× Eurosceptic	—	0.024*** (0.008)	—	0.030*** (0.009)
GDP persistence	0.914***	0.918***	0.918***	0.924***
LR effect of populist	-0.300***	-0.472***	-0.268***	-0.495***
LR effect of populist left	-0.479***	—	-0.340**	—
LR effect of populist right	-0.090	—	-0.146*	—
LR effect of eurosceptic populism	—	-0.184***	—	-0.103
Full controls & IQ	Yes	Yes	Yes	Yes
Observations	5,457	5,457	5,230	5,230
AR(2) p -value	—	—	0.235	0.319

Three GDP lags, 227 regions. In the Eurosceptic columns the baseline vote share captures the non-Eurosceptic component. Long-run effects: $\hat{\beta}/(1-\hat{\rho})$, delta-method SE. Robust SE in parentheses. * $p < .10$, ** $p < .05$, *** $p < .01$.

Institutional Quality Index: Construction

- Six World Bank **Worldwide Governance Indicators**: Rule of Law, Control of Corruption, Government Effectiveness, Political Stability and Absence of Violence, Regulatory Quality, Voice and Accountability.
- **Principal component analysis**: first principal component retained,

$$\widetilde{IQ}_{ct} = p'_1 x_{ct},$$

- **Min-max normalization** to the unit interval:

$$IQ_{ct} = \frac{\widetilde{IQ}_{ct} - \min(\widetilde{IQ})}{\max(\widetilde{IQ}) - \min(\widetilde{IQ})}.$$

- National-level variable; proxies the institutional efficiency parameter λ of the growth model.
- A significant populist-share coefficient *conditional on IQ* implies the regional growth penalty operates **over and above** any concurrent deterioration of national institutions.

Territorial Concentration: Full Estimates

	Within FE			Difference GMM		
	PNS	PNS _w	PNS ₁₀	PNS	PNS _w	PNS ₁₀
Adjusted populist vote share	−0.022*** (0.006)	−0.031*** (0.007)	−0.040*** (0.010)	−0.015** (0.007)	−0.025*** (0.009)	−0.039*** (0.012)
GDP persistence	0.915***	0.916***	0.917***	0.916***	0.918***	0.918***
Long-run effect	−0.265*** (0.070)	−0.370*** (0.088)	−0.484*** (0.118)	−0.180** (0.086)	−0.298*** (0.112)	−0.474*** (0.164)
Full controls & IQ	Yes	Yes	Yes	Yes	Yes	Yes
Observations	5,457	5,457	5,457	5,230	5,230	5,230
AR(2) <i>p</i> -value	—	—	—	0.242	0.235	0.242

Three GDP lags, 227 regions, full set of controls from col. (6) of the main table. The baseline vote share is replaced by each PNS-adjusted variant. Long-run effects: $\hat{\beta}/(1-\hat{\rho})$, delta-method SE. Robust SE in parentheses. **p* < .10, ***p* < .05, ****p* < .01.

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